

now... markets will fall or rise in a single-digit range... Interestingly, there has been no change in the overall returns... **The value of the market has gone up for the investor due to low volatility.** Also, one needs to understand that there are three broad categories of participants in the markets—FPIs, DIIs, and promoters. Around 50% [of the universe of listed companies is held by] promoters and 20% are FPIs with the balance 30% with DIIs and retail. Now, retail and DIIs are buying, with FPIs alternating between being net buyers or sellers. But who will sell in such a scenario? It will either be corporates from the unlisted space, or follow-on offers from the listed space, or blocks from promoters or private equity. Because of this, the market is expanding rapidly. This ongoing equity boom is causing money to move from the secondary market to the primary market. There are so many public issues happening, then there are QIPs (qualified institutional placements) or blocks (selling through block/bulk deals).

“The biggest differentiator between now and may be 20 years ago is the patience among the customers (as earlier, they could wait 10-15 years for returns to accrue)”

Q: And you believe this would continue for some time?

A: It is like a party is on and it will continue for 5-10 years. If you look at the additions in terms of new demat accounts, **there are around 3 million new accounts being opened every month.** My guess is that around 25-30 million demat accounts will be opened this year as well. So, the next four to five years might see 250-300 million new investors... **Till the time new investors keep coming in such numbers, you don't have to worry about the... market.** There will be no major correction unless there is some Covid-19-type event. Corporate earnings are growing, retail inflows continue and FPIs are not selling in huge quantum. Based on all these parameters, it is a fantastic time to be in the markets.

Q: New investors are coming to the markets but the equity penetration in terms of geography seems limited...



A: Maharashtra, Gujarat, and Rajasthan are like old blue-chip states from where investors have historically come in big numbers. But now we are seeing huge traction even in cities where there was hardly any penetration in terms of equity investors. **There was no equity investment culture in many cities earlier, but now there is such a vibrant investment culture there.**

Q: You have been coming out with your annual wealth creation study for nearly three decades. What are the changes you have seen over the years and what keeps you going?

A: There has to be dedication and passion. The processes are the same, but the markets have become much more digital and transparent. Information flow is massive. The landscape has entirely changed as far as the market size is concerned. And not just the market, even the size of the economy is changing and that would obviously impact the market. But we also mature over a period of time and every study takes me higher as it is a learning for me as well as we go deeper. We look at five-year data and then identify a theme. The market is silently changing. Earlier, if you bought a low P/E stock, you would get good returns. But recent studies [have shown that] some of the stocks with the lowest P/E have given the lowest returns. **The market is becoming more intelligent. It is not just looking at P/E, but also at growth-adjusted P/E.** This trend started